

MARKING SCHEME

JUNE 2019

ACCOUNTING

6001/3

073 573474

1 (a) Statement of changes in equity

	Ordinary share	Share premium	Revaluation reserve	General reserve	Retained profit	Total
	\$(000)	\$(000)	\$(000)	\$(000)	\$(000)	\$(000)
Balance on 1 April 2017	1 200	300	-	200	947	2 647
Profit for the year					355 (1)	355
Transfer to general reserve				200 (1)	(200) (1)	-
Dividend paid					(300) (1)	(300)
Revaluation of buildings			700 (1)			700
Bonus issue	200 (1)	(100) (1)	(100) (1)			-
Rights issue	280 (1)	112 (1)				392
Balance on 31 March 2018	1 680	312 (1)	600	400 (1)	802	3 794 (1)

[13] (14)

- (b) Proposed final dividends are shown as a note to the financial statements. (1)

No liability is shown in financial statements (1) still subject to approval by shareholders (1).

non adjusting event, not a contractual obligation

[3] (2) max

- (c) Rights issue

An offer of an issue of shares to existing ordinary shareholders (1) based on their existing holding (1) at a price which is usually favourable to the purchaser. (1)

It is cheaper than offering to the public. (1)

increasing bank share holders pay for the shares, improves liquidity there is cash inflow

[Max 3]

- (d) Impairment review

Recoverable amount is the higher of net selling price and value in use. (1)

The recoverable amount is therefore \$70 000. (1)

Profit reduced by \$30 000 (1). \$70 000 will be shown on the statement of financial position. (1)

[Max 4]

*impairment loss (1) 30000 (1)
profit reduced (1) 30000 (1)*

[23]

(a) Statement of cash flows for the year ended 31 December 2018.

		\$(000)	
Operating profit		156 (1)	
Depreciation: Buildings (245 + 21 243)	CR	23 (2)	
Machinery (450 - 340)		110 (1) mbc	
Vehicles (390 + 58 - 240)		208 (1) mbc	
Profit on disposal of buildings		(101) (1)	
Loss on disposal of Motor vehicles		5 (1)	
Inventory <i>must be qualified</i>		(70) (1)	
Trade receivables		(80) (1)	
Trade payables		5 (1)	
Interest paid		(28) (1) mbc	
Tax paid		(50) (1)	
Net cash flow from operating activities		178	
Investing activities			
Purchase of buildings (1 060 + 240 - 900)	(400) (1)		
Purchase of machinery (1 100 - 850)	(250) (1)		
Purchase of vehicles (575 + 75 - 500)	(150) (1)		
Disposal of building	320 (1)		
Disposal of vehicles	<u>12</u> (1)		
Net cash flow from investing activities		(468)	
Financial activities			
Issue of ordinary shares (300 × 2,20)	660 (1) 2		
Loan stock repayment	(100) (1)		
Ordinary dividend paid	<u>(32)</u> (1)		
		528	
Increase in cash and cash equivalents		238 (1)	
Add opening cash and cash equivalents		(48) (1)	
Closing cash and cash equivalents		<u>190</u> (1)	[23]

Ordinary dividends paid can either be classified as a financing or operating activity.

(b) Uses of statement of cash flows

- It explains why profits and losses are different from changes in cash and cash equivalents. (1)
- It shows sources of internal financing and extent to which the business has relied on external financing. (1)
- It explains to users the efficiency or inefficiency of how cash have been used during the year. (1) *it's cash have been used.*
- It helps provide information that will assist in the projection of future cash flows. (1)
- It provides information on the liquidity, viability and financial adaptability of the business. (1)

[Max 4]

OHA for cash budget

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(a) Calculation of inventory at 30 March 2016.

215-
2 → 15

	\$ Increase	\$ Decrease	\$
Inventory at 10 April 2016			312 500 (1)
(i) Sales returns $\left(\frac{4}{5} \times 6\ 250\right)$		5 000 (2)	
(ii) Damaged goods (7 500 - 1 350)		6 150 (2)	
(iii) Sales $\left(15\ 000 \times \frac{4}{5}\right)$	12 000 (2)		
(iv) Purchases		2 500 (1)	
(v) Sale or return $\left(12\ 500 \times \frac{4}{5}\right)$	10 000 (2)		
(vi) Stationery stock		3 500 (1)	
(vii) Carriage inwards	1 320 (1)		
(viii) Goods awaiting collection $\left(1\ 680 \times \frac{4}{5}\right)$		1 344 (2)	
(ix) Drawing of goods	<u>3 400 (2)</u>		
	26 720	(18 494)	<u>8 226</u>
Inventory at 31 March 2016			<u>320 726 (1)</u> OF

provided opening is

(b) Advantages and disadvantages

(i) FIFO

Advantages

- relatively simple system to use (1)
- more realistic as goods or materials are used in order of purchases (1)
- uses prices actually paid for (1)
- closing inventory is valued at current prices (1)

Disadvantages

- overstates profits in periods of increasing prices (1)
- identical units of inventory for different batches are charged differently (1)
- manufacturing firms usually prefer to use current prices for materials (1) to determine production cost.

Any other relevant point.

Max 2 × 2

inc purposes
IAS 2

are closing inventory in period of rising prices [4]

(ii) AVCO

Advantages

- average prices are fairly close to the latest prices (1)
- use of average prices avoids the inequality of identical units being charged to different jobs at different prices (1)
- average prices may smooth variations in production costs and comparisons between the results of different periods more meaningful (1)

Disadvantages

- average prices must be calculated after every purchase (1)
- the average prices does not represent the actual price paid for (1)
- difficult to use (1)

Any other relevant point.
Max 4

IAS 2 & IAS 1

[4]

25

(a) (i) Accounting rate of return

Project A

$$\frac{14\,500}{105\,000} \times 100$$

$$= 13,81\% \quad (2)$$

Project B

$$\frac{14\,000}{86\,000} \times 100$$

$$= 16,28\% \quad (2) \quad [4]$$

MBC working if final answer

(ii) Net present value for project A

Net cash flows

Year 0		(180 000)
Year 1	14 000 + 45 000	= 59 000 (1)
Year 2	10 000 + 45 000	= 55 000 (1)
Year 3	20 000 + 45 000	= 65 000 (1)
Year 4	14 000 + 45 000	= 59 000 (1)

Year	Cash flow × Discount factor	Present value
0	(180 000) × 1	(180 000) (1)
1	59 000 × 0,909	53 631 (1)
2	55 000 × 0,826	45 430 (1)
3	65 000 × 0,751	48 815 (1)
4	59 000 × 0,683	40 297 (1)
	Net present value	<u>8 173 (1)</u>

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HOT

(iii) Internal rate of return for project A

Year

0	180 000 × 1	(180 000)
1	59 000 × 0,833	49 147
2	55 000 × 0,694	38 179
3	65 000 × 0,579	37 635
4	59 000 × 0,482	28 438

net present value (26 610) ~~1 145~~ of

$$10\% (1) + 10\% (1) \left(\frac{8 173}{34 783} \right) (1)$$

$$10\% + 2,35\%$$

$$= 12,35\% (1) \text{ OF}$$

[4]

(b) Project to choose

Project B (1) of

- Better ARR (1) of
- Higher NPV (1) of
- Higher internal rate of return (1) of
- Cheaper (1) ~~of~~

less increase in working capital

[Max 4]

(c) (i) Limitations

Accounting rate of return

- average profit may not reflect profit for any particular year
- calculation of profit is subjective (1)
- It does not take into account time value of money (1)
- It does not recognize the timing of cash flows (1) [Max 1]

Does not use cash flows as are objective

(ii) The payback period

- It ignores the time value of money (1)
- It ignores cash flows after payback period (1) [Max 1]

(iii) Net present value

- Inflows and outflows are difficult to predict (1)
- The current cost of capital change over the life of the project (1)
- The life of the project is difficult to predict (1) [Max 1]

(cos)
WACC does not represent any cost of capital